

Northstar Distribution Operational Review: Outbound Fulfillment, First Quarter 2026 (Corrected Edition)

Report No. OPS-2026-004-R1

Issued by Northstar Distribution, Operations Excellence Office

Published 2 April 2026

Executive Summary

This corrected edition supersedes the 12 March 2026 release of Report No. OPS-2026-004. The revised program cost of the Dock Optimization Program previously reported as \$1.25 million is restated as \$1.15 million after a duplicated invoice from the gate system integrator was removed from the capital ledger. Finding 2 and Recommendation 2 have been restated after reconciliation of the carrier reporting log, which showed that two of the files originally recorded as late had been received on time by the planning mailbox.

This operational review examines outbound fulfillment performance at Northstar Distribution for the first quarter of 2026, covering the period from 1 January 2026 to 29 February 2026 and the dock and carrier processes that support it. The review was commissioned by the Chief Operating Officer after two large retail customers reported late deliveries in January.

The review found that outbound trailer departures ran well behind the published schedule and that the wave release logic in the warehouse system is routinely bypassed. Carrier performance reporting was less of a problem than the original edition suggested. Detention charges and expedited freight erased most of the savings that the dock program was expected to deliver. Four findings and three recommendations are presented.

Background

Northstar Distribution operates three regional warehouses and a fleet of contracted carriers serving grocery and general merchandise retailers. The Elk River Distribution Center is the largest facility in the network and handles roughly 58 percent of outbound volume. Its 42 dock doors were rebuilt in 2025 under the Dock Optimization Program, a two-year capital program intended to cut trailer turnaround time by a third.

Outbound transport is provided under contract by Cardinal Fleet Services, a regional carrier and vendor that supplies dedicated tractors and drivers for the retail lanes. Order picking, wave release and trailer loading are directed by the Atlas Warehouse Management System, which was upgraded in November 2025 to add automated wave scheduling.

The review team interviewed 26 dock, planning and transport staff, observed 14 shifts and analysed gate logs, carrier scorecards and system override records for the quarter. For this corrected edition the team also reconciled the carrier reporting log against the planning mailbox archive.

Findings

Finding 1: Outbound trailers at the Elk River Distribution Center departed an average of 47 minutes behind schedule during the quarter. Severity: High. Gate logs show that 63 percent of scheduled departures left more than 30 minutes late, compared with a target of no more than 10 percent. The delays were concentrated on the two evening waves that serve the grocery lanes, where loading crews were waiting on late pick completions.

Finding 2: Carrier compliance reporting from Cardinal Fleet Services was delivered late in five of thirteen weeks after reconciliation of the reporting log. Severity: Low. The original edition recorded seven late weeks; two files had in fact arrived on time but were filed to the wrong mailbox folder. The contract requires a weekly on-time performance file by Monday noon, and the remaining late files still delayed visibility of lane performance by up to a week.

Finding 3: Wave release rules in the Atlas Warehouse Management System were overridden manually on 31 percent of shifts. Severity: Medium. Supervisors reported that the automated waves released grocery orders too late for the evening departures, and that manual release was the only way to protect the cutoffs. Override reasons were not recorded, so the review could not determine how many overrides were justified.

Finding 4: Safety walk documentation on the night shift was complete and required no corrective action. Severity: Low. All 61 scheduled safety walks for the quarter were recorded with named observers and closed actions. The review notes this as a positive control that should be maintained.

Recommendations

Recommendation 1: Introduce fixed dock appointment windows for all outbound carriers by the end of April 2026. Priority: High. Appointment windows should be published in the carrier portal and enforced through the gate system, with exceptions approved by the shift manager.

Recommendation 2: Move Cardinal Fleet Services to a monthly performance scorecard with service credits for late exception reports. Priority: Low. This replaces the original recommendation to amend the contract with a weekly reporting deadline, which is no longer proportionate given the reconciled late-file count.

Recommendation 3: Restrict manual wave overrides in the Atlas Warehouse Management System to shift supervisors and log every override with a reason code. Priority: Medium. The planning team should review the override log weekly and adjust wave timing where overrides are recurring.

Financial Impact

The revised program cost of the Dock Optimization Program is \$1.15 million. This figure reconciles the capital ledger through 29 February 2026, includes the gate system integration added to scope in December 2025, and excludes a duplicated integrator invoice of \$100,000 that was counted twice in the original edition. The original approved budget was \$1.05 million.

Carrier detention charges paid during the quarter totaled \$316,400. Detention was charged whenever a trailer waited more than two hours at the dock, and the charges were concentrated on the late evening waves described in Finding 1.

If the recommendations are implemented, projected annual savings are estimated at USD 540,000, made up of avoided detention, reduced expedited freight and lower overtime on the loading crews.

Appendix

Appendix A: Summary of corrections. Dock Optimization Program cost (corrected): 1.15m, previously 1.25m. Finding 2 late-file count (corrected): five weeks, previously seven weeks. Recommendation 2 (corrected): monthly scorecard, previously a contract amendment with a weekly deadline.

Appendix B: Management response and target dates. Recommendation 1 is targeted for 30 April 2026 and is owned by the Director of Transportation. Recommendation 2 is targeted for 30 June 2026 and is owned by the Procurement Manager. Recommendation 3 is targeted for 15 April 2026 and is owned by the Planning Manager.

Appendix C: Methodology. Gate log data were extracted from the yard management module for all outbound movements between 1 January and 29 February 2026. Override records were taken from the Atlas Warehouse Management System audit table. Interviews were conducted on site at the Elk River Distribution Center between 16 and 27 February 2026.

Appendix D: Distribution. This report is distributed to the Chief Operating Officer, the Vice President of Supply Chain and the Audit Committee. Questions should be directed to the Operations Excellence Office.